

REPORTS

After the US–Iran War: Market Direction as the War Premium Unwinds

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The end of the US–Iran war sends a near-term risk-on signal across global markets. But markets relieve first, then verify. This report maps expected direction by asset class, three scenarios, and the five checkpoints that will determine whether the relief rally holds over the next 60 days.

14 min · Reports

The Relief Is Real — But Normalization Is Not a Straight Line

> **About this report.** This is an independent, educational market analysis. It is not investment advice or a recommendation to buy or sell any security, sector, or asset. It describes how markets *tend* to behave as a geopolitical risk premium unwinds, as a framework for reading the months ahead — not as a forecast or a trade list.

Executive Summary

The end of the US–Iran war sends a clear, near-term risk-on signal to global markets. Three pressures dominated during the conflict: an energy-price spike driven by disruption at the Strait of Hormuz; the risk that higher oil would reignite U.S. inflation and reshape the Fed's path; and a flight to safety as regional escalation loomed.

The deal eases all three at once. So the first market reaction is the obvious one: oil gives back its war premium, equities bounce, gold and the dollar shed some of their safe-haven bid, and oil-sensitive sectors recover.

But the central judgment of this report is *not* a simple "ceasefire rally." Markets will price out war risk in the first phase. In the second phase, they will return to verifying inflation, the Fed, corporate earnings, and the speed of energy-supply normalization. In other words: the direction is risk-friendly in the short term, but the medium-term shape is more likely "**gradual upside plus high volatility**" than a clean melt-up.

The core idea in one line: **markets relieve first, then verify.**

1. The Core Conclusion: Relief First, Verification Second

The default reaction right after a war ends is a relief rally. The first thing investors remove is the geopolitical risk premium — the embedded danger that continued conflict would push oil higher, widen logistics disruption, and entrench inflation.

The most direct repricing happens in crude. As the war premium shrinks, Brent and WTI face downward pressure. Lower oil then feeds positively into U.S. consumer prices, inflation expectations, transport costs, and corporate margins — supportive for equities, and especially for sectors long suppressed by high energy costs. During the war, Brent traded well above \$110 a barrel; as deal progress firmed, it gave back ground toward the low-\$100s.

But a ceasefire is not instant normalization. Even with the Strait of Hormuz reopening, insurance markets, vessel repositioning, port bottlenecks, inventory rebuilds, and security verification all take time. So crude may shed its war premium quickly while still declining in a *staged, volatile* path rather than snapping back to pre-war levels.

The market's next question is therefore not "is the war over?" It is: "**how much can falling energy prices change the Fed's path?**"

2. Expected Direction by Asset Class

Equities: Short-Term Rally, Then Sector Rotation

U.S. equities have the upper hand short-term. Easing geopolitical risk lowers both the discount rate and the equity risk premium at once. The Nasdaq and growth names can rebound quickly if rate fears cool.

But not all stocks move the same way. As the war premium unwinds, the relative strength of energy producers and defense names can fade, while airlines, transport, travel, chemicals, consumer, small caps, and emerging-market-linked names become relatively favored. The key here is **sector rotation more than the index level** — capital that moved defensive and commodity-heavy during the war may rotate back toward cyclicals, consumer, tech, transport, and industrials.

Crude Oil: Premium Removal, Not Structural Collapse

Oil is the most directly affected. The war's end and the Strait's reopening lower crude's geopolitical premium. But supply normalization takes time — shipping must resume, insurance markets must normalize, Middle Eastern exporters must restore flows, and refiners must rebuild inventories.

So crude is more likely to drop sharply and then form a range than to collapse outright. The market won't fully return oil to pre-war levels until it sees real throughput-recovery data. Base case: Brent attempts to stabilize in the **\$70s to low-\$80s**. In an optimistic case, fast Hormuz normalization could bring the low-\$70s. If implementation stalls — or Israel–Hezbollah–Iran-proxy conflict reignites — oil can spike again.

Bonds: Short Rates Ease; Long Rates Less Clear

The war's end is a disinflationary event, and lower oil pulls headline inflation down directly — which can lower short-end yields and rate-hike expectations. Long rates are more complex: less war risk reduces safe-haven demand for long bonds (a yield-up force), while cooler inflation is a yield-down force. The two collide, so long-end direction is less clear than the short end.

The pivot is the Fed. If lower oil cools inflation without badly damaging consumption, the market can re-price a "soft landing plus cuts." If inflation stays sticky after the war, the bond rally struggles to extend.

Dollar and Gold: Safe-Haven Premium Fades

The war's end trims some of the safe-haven premium in the dollar and gold. As oil-driven global anxiety eases, dollar-strength pressure can soften, and gold may see a short-term pullback as its geopolitical premium leaves. But gold's medium-term trend isn't set by one war variable — real rates, central-bank buying, fiscal deficits, dollar credibility, and the broader geopolitical structure all matter. So the war's end is a short-term adjustment for gold, not necessarily a trend-breaker.

Emerging Markets: Energy Importers Lead

The biggest regional beneficiaries are heavy energy importers. Korea, Japan, India, and parts of Europe can benefit directly from oil and LNG stabilization — improving trade balances, inflation, and consumer sentiment at once. Korea in particular has room for foreign inflows if a semiconductor upcycle and oil stabilization coincide, and the won can steady if lower oil and softer dollar strength align. Energy exporters and oil-linked firms, by contrast, bear the cost of the fading premium.

3. Sector Interpretation

Likely beneficiaries. *Airlines and travel* — lower fuel directly helps cost structures, and easing geopolitical risk supports international travel demand. *Transport and logistics* — calmer freight rates and insurance lower global trade costs. *Chemicals and manufacturing* — lower energy and input costs improve margins, especially for materials and intermediate-goods makers that carried high cost burdens. *Tech and growth* — if oil stability cools inflation and rate pressure, long-duration valuations get relief. *Energy-importing equity markets* — Korea, Japan, India, and parts of Europe can see a double benefit from oil stability and a return of risk appetite.

Likely under pressure. *Oil producers and explorers* — a sharp oil drop can lower earnings expectations (though the downside is limited if oil holds at still-elevated levels). *Defense* — the end of war trims the near-term premium, even if structural rearmament demand persists longer-term. *Gold-linked assets* — the geopolitical-premium unwind is a short-term headwind, but real rates and central-bank demand can keep it closer to higher volatility than a clean trend reversal.

4. Three Scenarios

Base case — relief rally, then gradual upside. The most likely path: a short risk-asset bounce, then a measured climb. Oil returns its war premium but holds a volatile \$70s–\$80s range as supply normalizes slowly. Equities rebound led by airlines, transport, consumer, and tech, while energy and defense rest. The Fed verifies data rather than pivoting immediately. The chain: *war ends !' oil stabilizes !' inflation eases !' rate pressure eases !' equities recover.*

Optimistic case — fast normalization and a disinflation rally. If Hormuz reopens quickly and shipping/insurance/vessel flows normalize faster than expected, oil falls faster, improving both consumer sentiment and corporate margins. Additional Fed tightening odds drop, and the market re-prices cuts. Growth, emerging markets, energy importers, and airlines/transport/consumer rally hard; the dollar softens and gold sees a short-term pullback.

Pessimistic case — agreement reached, implementation delayed. Even with a deal, snags in nuclear talks, sanctions relief, Israel–Hezbollah clashes, Iranian internal politics, or Strait-transit verification can pull the risk premium back in. Oil rebounds, equities give back the rally, and gold and the dollar firm again. The most vulnerable assets are the cyclical and EM positions that just spiked; energy, defense, and gold can recover a defensive role.

5. Key Checkpoints (Next 60 Days)

The five variables the market will verify:

- 1. Actual Hormuz throughput** — real vessel movement and insurance normalization matter more than the announcement.
 - 2. Where Brent and WTI settle** — stable below \$80 strengthens the disinflation case; a re-rise above \$90 puts Fed risk back into prices.
 - 3. U.S. inflation expectations and yields** — if lower oil pulls expected inflation down, that's a positive for equities.
 - 4. The Fed's language** — if the Fed stays on inflation watch after the war, the rally's ceiling is lower; an easing signal lifts it.
 - 5. Israel–Hezbollah–proxy tension** — ending the direct US–Iran conflict doesn't instantly end regional conflict; the market will keep checking whether broader escalation risk actually fell.
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6. Investment Conclusion

The first direction after the war is risk-on — falling oil, easing inflation worry, lighter rate pressure, and a shrinking safe-haven premium all work at once. But this rally's durability is decided less by "the ceasefire" itself and more by **the speed of normalization**.

So the key this cycle isn't simply buying equities — it's distinguishing what benefits from the unwinding war premium from what bears its cost. The beneficiary axis: airlines, transport, consumer, industrials, tech, energy importers. The pressure axis: oil producers, defense, and parts of the safe-haven complex. And because a political agreement is not yet a complete peace framework, positioning should rest on **staged confirmation rather than conviction**.

The end of this war is a clear relief signal. But the conditions for a durable bull market are not the war's end alone — they are energy-supply normalization, cooling inflation, the possibility of Fed easing, and recovering corporate earnings, *confirmed together*.

The conclusion: **markets will relieve first. Whether the rally lasts will be decided by the implementation data of the next 60 days.**

One-Line Summary

> The end of the US–Iran war triggers near-term oil declines and a risk-asset bounce — but the medium-term direction will be set by the speed of Strait-of-Hormuz normalization and the Fed's read on inflation.

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